

Outlook

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Follow-up: the model may be learning from events that happen after prediction

Hi,

This came up in a working session and nobody had the same definition.

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: performance is stable after strict time-based validation; status or collections fields leak future outcomes; or monthly snapshots duplicate later knowledge.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use August 2022 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is whether the model can enter validation or must return to feature engineering. Please bring a Power BI page with drill-through to a reproducible case list, including a few cases we can trace from source to conclusion.

The available evidence is the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Thank you